

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

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LAW AND MOTION TENTATIVE RULINGS

DATE: July 15, 2026 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))

LINE #	CASE #	CASE TITLE	RULING
LINE 1	19CV360648	Dancy v. Walmart Inc., et al. [Included in Walmart Wage and Hour Cases, JCCP5136, Santa Clara] (Class Action)	See Line 1 for tentative ruling.
LINE 2	22CV398302	Rivera, et al. v. ULBP Inc., et al. (PAGA)	See Line 2 for tentative ruling.
LINE 3	24CV442539	Carbajal v. Scratch, et al. (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 4	25CV460472	Juan Carillo vs PROTEINSIMPLE et al (Class Action)	See Line 4 for tentative ruling.
LINE 5	25CV476626	Eric Gonzalez et al vs Super Micro Computer, Inc. (PAGA)	See Line 5 for tentative ruling.
LINE 6	2014-1-CV-265039	Steinbeck Vineyards #1, LLC v. County of San Luis Obispo, et al.	Off calendar as MOOT following withdrawal of affirmative defenses by City of El Paso de Robles.
LINE 7	2014-1-CV-265039	Steinbeck Vineyards #1, LLC v. County of San Luis Obispo, et al.	See Line 7 for tentative ruling.
LINE 8	23CV427117	Cruz v. Quantumscape, et al. (Class Action)	See Line 8 for tentative ruling.
LINE 9			
LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name: *Dancy v. Walmart, Inc., et al.*

Case No.: 19CV360648

This is a putative class action arising from alleged wage and hour violations, brought by plaintiff Lynette Branco against defendant Wal-Mart Associates (“Walmart” or “Defendant”). Plaintiff previously brought a motion for class certification, and on February 9, 2026, the Court denied the motion without prejudice. Before the Court is Plaintiff’s renewed motion for class certification, which Walmart opposes. For the reasons discussed below, the Court rules as follows:

1. The Court SUSTAINS Walmart’s evidentiary objections as to the legal conclusions in the expert submissions (including the Petersen Report, ¶¶ 3 and 88) and otherwise OVERRULES Walmart’s evidentiary objections, as set forth herein in Section III.
2. The Court DENIES Plaintiff’s motion to certify the Misclassification class.
3. The Court DENIES Plaintiff’s alternative motion to certify a class of her declarants.
4. The Court GRANTS Plaintiff’s motion to certify the narrower ACNT class (OAMs and OCs only), conditioned on the representative-membership showing described herein in Part VI. The Court DENIES Plaintiff’s motion to certify the broader ACNT class definition.
5. The Court DENIES Plaintiff’s motion to certify the Waiting Time subclass.
6. The PAGA cause of action is unaffected by this ruling and will proceed, as will the individual claims of the coordinated plaintiffs.
7. The Court ORDERS the parties to file and serve within 15 days their respective positions (with computations and any tolling attributable to the coordination proceedings) regarding the application of the five-year rule (Code Civ. Proc., § 583.310).

I. Background

Lynette Branco worked the overnight shift as an Assistant Manager at a Walmart Supercenter in Patterson. She contends that Walmart misclassified her and roughly 857 other Overnight Assistant Managers (“OAMs”) and Overnight Coaches (“OCs”) across California as executives exempt from the overtime laws, when in fact they spent most of their nights stocking shelves, straightening aisles, and hauling pallets alongside the hourly associates they supervised. In February, the Court denied Plaintiff’s prior motion for class certification without prejudice so that Plaintiff could return with “a more detailed trial plan addressing the issues and concerns discussed above.” (Order Re: Motion for Class Certification, Feb. 9, 2026 (“February Order”), p. 18.)

The procedural history is set out in the February Order and is only summarized here. Plaintiff Branco filed suit in Stanislaus County on May 8, 2020; her action was coordinated with the Dancy action in this Court in December 2020, and the Lau action was added in July 2024. The operative complaint alleges misclassification under the executive exemption of IWC Wage Order 7-2001, with derivative claims for meal and rest period premiums, wage statement and waiting time penalties, restitution, and PAGA penalties, together with a freestanding claim that payroll deductions funding Walmart’s Associates in Critical Need Trust (“ACNT”) violate Labor Code section 221.

The Court heard Plaintiff’s original certification motion in January 2026 on a substantial record: over 200 class member declarations (plus supplemental and further supplemental rounds) for Plaintiff; 70 declarations, impeachment evidence, and an expert rebuttal for Walmart. The February Order found the proposed class ascertainable and found Plaintiff typical and adequate. But the Court further found that common issues did not predominate, stating that the parties’ declarations, “when credited and read together, suggest that the OAMs’ and OCs’ assigned tasks and working conditions vary significantly, irrespective of whatever companywide policies Walmart may have.” (February Order, pp. 13–14.) The Court also stated that Plaintiff had offered no “substantive or workable trial plan for the adjudication of the affirmative defense that she herself positions at the center of argument in favor of class certification.” (*Id.*, p. 17.)

With her renewed motion, Plaintiff adds two main items. First, Plaintiff's survey expert, Dr. Jeffrey Petersen, working with Davis Research, completed a telephone survey of 85 members of the class list. As reported, 96.5% of respondents said they were required, at least once, to remain past the scheduled end of their shifts performing the same work as the stockers and maintenance associates they supervised; 89.4% reported spending half or more of their work time, in at least one week, on such work; and those respondents reported that this occurred in 64.9% of their workweeks (a figure Dr. Petersen adjusted downward from 75.7% to account for potential bias). (Memo, pp. 3, 14–15 and fn. 15; Petersen Decl., ¶ 86.)

Second, Plaintiff filed a Trial Methodology Statement ("TMS"). It focuses on a random sample of class member depositions (45 in the moving papers, 40 on reply) which Plaintiff's statistician, Dr. Brian Kriegler, calculates would support classwide findings at a one-sided 95% confidence level with a margin of error near ten percent. (TMS, pp. 2–4; Kriegler Decl., ¶¶ 22–25.) Each deposition would open with a scripted question set derived from the survey (30 to 40 minutes), followed by cross-examination by Walmart (30 to 40 minutes) and brief follow-up, capped at two hours, with all objections except privilege reserved rather than stated. (TMS, pp. 4–5.) Dr. Kriegler would then "code" the transcripts and present the results to the trier of fact in aggregate form. (*Id.* at p. 5; Kriegler Decl., ¶¶ 26–27.) The plan proposes bifurcation of liability and damages and, if liability is found, a third phase in which absent class members would establish their entitlement by claim forms executed under penalty of perjury. (TMS, pp. 2–8 and fn. 14.)

Walmart opposes in all respects, supported by a rebuttal report from Drs. Nancy Mathiowetz and Chen Song, declarations of two survey respondents, and 27 evidentiary objections.

II. The Renewed Motion is Properly Before the Court

Walmart initially argues that the Court should not read the rest of the motion because Code of Civil Procedure section 1008, subdivision (b), permits a renewed motion only on "new or different facts, circumstances, or law," supported by an affidavit explaining why the showing was not made earlier, and nothing prevented Plaintiff from commissioning her survey

and drafting her trial plan back in 2024. (Opp., pp. 21–22, citing *Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830, and *Tucker v. Pacific Bell Mobile Services* (2010) 186 Cal.App.4th 1548, 1560.)

Section 1008 exists to protect courts from litigants who bring the same motion twice and hope for a different result. It does not prevent courts from hearing further motions they have invited. The February Order denied certification without prejudice at Plaintiff’s request, expressly contemplating a renewed motion supported by a more detailed trial plan. (February Order, p. 18.) The completed survey, the TMS, and the expert depositions taken since are new facts generated in direct response to the Court’s prior order, and the Court in any event retains inherent authority to revisit its interim orders. (*Le Francois v. Goel* (2005) 35 Cal.4th 1094, 1107–1108; see *Duran v. U.S. Bank N.A.* (2014), 59 Cal.4th 1, 28–29 (*Duran*) [certification rulings remain subject to modification before judgment].) Walmart’s diligence point is not frivolous, and the Perlman declaration says little on the subject. But having told Plaintiff what a successful motion would require, the Court will not now fault or restrict her for supplying it.

Nevertheless, some of Plaintiff’s additions go beyond the limits contemplated by the February Order. The renewed motion redefines the ACNT class to sweep in day-shift “Assistant Managers” and “Coaches,” positions that Branco never held and the original motion never included. (Opp., p. 14; Branco Dep., p. 158:16-18; compare February Order, p. 4 with Notice of Motion, pp. 1 –2.) Nothing in the February Order invited such an expansion, and no new facts showing supports it. Therefore, the Court declines to consider the expanded ACNT definition and confines its analysis to the narrower, alternative definition (OAMs and OCs only) set out in the notice of motion.

III. Evidentiary Objections

Walmart objects to portions of the Petersen report, the Kriegler declaration, the Woolfson declaration, the Davis Research report, and the Perlman declaration. (Walmart’s Objections, pp. 2–3.) The objections are SUSTAINED insofar as they are directed at legal conclusions embedded in expert papers, most prominently Dr. Petersen’s assertions that his 85 survey responses are “a valid and reliable data set” that “can also be used as part of the

determination of liability.” (Petersen Rep., ¶¶ 3, 88; Objection Nos. 1–2.) Whether survey evidence may establish classwide liability is a question of law for the Court, and not a matter on which an expert may opine, and certainly not in language the expert concedes he includes in the great majority of his reports.

The remaining objections, which attack survey methodology, sample composition, and statistical technique, are **OVERRULED** at this stage. Those criticisms go to weight, and they inform the analysis that follows. (See *Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 331–332 (*Sav-On*)). A ruling on each numbered objection consistent with this section will issue with the final order.

IV. The Misclassification Class

A. Common issues still do not predominate

Beginning with what the parties now agree upon, Plaintiff concedes that all 70 of Walmart’s class member declarants (including the 20 she deposed) were properly classified as exempt. (Memo, pp. 6–7, 16–17; Opp., p. 23.) She attributes their experience to their Store Managers, who, on her theory, chose not to impose the practice at the heart of this case: assigning the overnight crew’s unfinished hourly work to the OAM or OC at the scheduled end of the shift. Indeed, she calls the individual Store Manager’s decision “the single variation that ultimately determines whether or not an employee in this case will be misclassified.” (Memo, pp. 15–16.)

That concession frames the problem. On Plaintiff’s own theory, whether any given class member was misclassified depends on which manager ran which store during which stretch of a class period spanning nearly a decade and more than 270 stores. (Opp., pp. 13, 17.) Even then, the inquiry further depends on how the particular OAM or OC actually spent the hours of particular workweeks. That is not a single common question with a single common answer. Rather, it is several hundred particular questions wearing a common label. The exemption inquiry first asks what work the employee performed during the workweek, measured against the employer’s realistic expectations and the requirements of the job; an employee who falls

below the fifty-percent line through her own substandard performance is not misclassified. (*Ramirez v. Yosemite Water Co.* (1999) 20 Cal.4th 785, 802 (*Ramirez*.) Each element of that inquiry, on this record, varies with the individual. (Opp., pp. 16–17.)

Plaintiff’s survey does not bridge the gap because it at most establishes that the alleged misclassification was widespread, not necessarily that it was classwide. By Plaintiff’s own numbers, a meaningful fraction of the class (at least one in ten, and considerably more when the results are examined week by week) was properly classified. (Petersen Decl., ¶¶ 84–85; Memo, p. 16.) The survey has no way of identifying which members, at which stores, in which weeks. “Wide variation among class members is a factor informing whether the exemption questions can be resolved by a simple ‘yes’ or ‘no’ answer for the entire class.” (*Duran, supra*, 59 Cal.4th at p. 32; *Mies v. Sephora U.S.A., Inc.* (2015) 234 Cal.App.4th 967, 982.) Here, they cannot. Further, the survey in this instance is heavily biased. Of its 85 respondents, 49 (nearly six in ten) are Plaintiff’s own declarants, and not one is a declarant for Walmart. (Resp. TMS, p. 8; Murata Decl. ¶¶ 58–59; Mathiowetz/Song Rep., App. C.) A survey drawn so heavily from one side’s witness pool is less a window on the class than a mirror held up to the moving papers. While Dr. Petersen’s reply declaration answers some of the methodological criticisms (Petersen Decl., ¶¶ 3–27), no regression analysis can adjust away the composition of the sample.

In reply, Plaintiff points to *Sav-On*, which holds that predominance is a comparative concept, that a de facto practice of loading managers with non-exempt work can support certification, and that a Plaintiff need not prove the employer’s classification “right as to all members of the class or wrong as to all members of the class.” (*Sav-On, supra*, 34 Cal.4th at pp. 327, 338; Reply, p. 14.) While these points are valid, *Sav-On* involved evidence of standardized duties amenable to a common answer and did not hold that a plaintiff establishes predominance by conceding that liability turns on a store-by-store, manager-by-manager variable and then proposing to measure the variable’s prevalence. The Court found in February, on declarations from both sides, that OAM and OC working conditions “vary significantly.” (February Order, pp. 13–14.) Nothing in the renewed papers disturbs that finding; the new evidence, candidly assessed, confirms it. Predominance remains unestablished.

B. Trial Plan

While Plaintiff's new trial plan is significantly improved, it fails to make the case manageable. The February Order faulted Plaintiff for offering only the idea of a survey and the mention of procedural tools. The TMS presented here is different, and the survey is done. The proposed deposition sample would be drawn randomly from the full class list and compelled by subpoena (TMS, pp. 5–6), thereby addressing, at least for the sample itself, the self-selection and non-response criticisms that dogged the survey. (Reply, pp. 8, 17.) The proposed margin of error, near ten percent, bears no resemblance to the 43.3% the Supreme Court criticized in *Duran*. The sampled witnesses would testify under oath, subject to cross-examination, in contrast to the anonymous survey respondents denounced in *McCleery v. Allstate Ins. Co.* (2019) 37 Cal.App.5th 434 (*McCleery*). The experts are in relative agreement on feasibility because Dr. Kriegler proposes 40 depositions and Walmart's Dr. Song proposes 63, having applied maximum-variability assumptions. (Reply, pp. 5–7; Song Rebuttal Decl., ¶¶ 17, 20.) Roughly 50 to 60 depositions have already been taken in this case without incident. (Memo, p. 3, fn. 10; Reply, p. 7, fn. 15.) If the only question were whether the parties can take five dozen depositions, the answer would be yes.

However, that is not the only question. Five problems remain in the view of this Court, and they present structural rather than logistical questions.

1. *The Survey's Role at Trial*

The plan uses the survey both as the variability input for the sample-size calculation and as affirmative evidence of classwide liability. (See TMS, pp. 2–4; Memo, pp. 1–3; Resp. TMS, pp. 8–12.) The first use is curable because the Court could simply adopt Dr. Song's more conservative figure. The second use is not curable because extrapolating self-reported, litigation-aware survey answers from a pool dominated by Plaintiff's declarants to more than 800 absent class members is the kind of use the Court of Appeal disapproved in *Duran v. U.S. Bank National Assn.* (2018) 19 Cal.App.5th 630, 644–650 (*Duran II*), and *McCleery*, supra, 37 Cal.App.5th at pp. 451–456.

2. *The Adjudication Mechanism*

Dr. Kriegler proposes to “code” the deposition transcripts and present the results in aggregate. (TMS, pp. 2–5.) Yet he disclaims any opinion on whether anyone was misclassified, and his coding protocol remains unspecified. (Resp. TMS, pp. 13–15.) A trial plan must show how the factfinder moves from data to liability; simply naming a tool is not enough. (*Payton v. CSI Elec. Contractors, Inc.* (2018) 27 Cal.App.5th 832, 844.) And substituting an expert’s summary of deposition hearsay for the testimony itself removes the trier of fact’s responsibility and ability to assess credibility — no small matter in a case in which several of Plaintiff’s declarants have been impeached, have repudiated their declarations, or have withdrawn them. (Opp., pp. 10, 19; Murata Decl., ¶¶ 33, 57.)

3. *The Defense’s Share of Trial*

A scripted 30-to-40-minute direct examination, with objections held off the record, followed by an equal allotment of cross examination, does not explain how Walmart presents its individualized case as to each sampled member (such as the Store Manager, Market Manager, and co-worker witnesses), the performance records, and the realistic-expectations showing that *Ramirez* contemplates. (See TMS, pp. 4–5; Resp. TMS, pp. 16–17; Opp., pp. 24–25.) The individual trials of just three assistant managers in *Batze v. Safeway, Inc.* (2017) 10 Cal.App.5th 440 involved nearly fifty witnesses. *Duran* requires that a statistical model “be designed to accommodate” the case-specific deviations the defense raises. (59 Cal.4th at p. 40.) This plan largely assumes them away.

4. *The Claim Forms*

If liability and aggregate damages are found, absent class members would establish their own misclassification afterward, by claim forms Walmart cannot test. (TMS, pp. 3 and 8, fn. 14.) That proposal concedes the central point: individual liability would remain unadjudicated when the class trial ends. The plan does not solve that problem; it schedules it for later. (Resp. TMS, pp. 19–20.) *Duran* forbids recasting individual questions of liability as

questions of damages or claims administration (59 Cal.4th at pp. 36–37), and “Trial by Formula” fares no better in California than it did in *Wal-Mart Stores, Inc. v. Dukes* (2011) 564 U.S. 338, 367.

5. *Extrapolation of Liability*

Plaintiff’s reply clarifies the arithmetic: each sampled deponent would be adjudicated misclassified or not, week by week, and the sample’s proportions would then be projected onto the class. (Reply, pp. 11–12.) The clarification answers Dr. Song’s “averaging” critique, but it confirms what the plan is. (Song Rebuttal Decl., ¶ 41; Reply, p. 11.) The factfinder would conduct forty to sixty genuine exemption mini-trials, and then fix the rights of the remaining 800 members by ratio. A margin of error, however small, is not a substitute for an answer to the question a misclassification trial must ultimately answer: *which* members. Where the defense is individualized, that final step is the one *Duran* and its progeny do not permit.

The Court does not doubt that a single trial would be more efficient, and less expensive and time-consuming, than 800. Superiority, however, asks not merely whether a class trial would be efficient but whether it can be fair; in other words, whether a class trial can adjudicate the defendant’s defenses as well as the plaintiffs’ claims. “The manageability of individual issues is just as important as the existence of common questions,” and rights that are inconvenient to the chosen litigation posture do not thereby become forfeitable. (*Duran, supra*, 59 Cal.4th at p. 29; *Granberry v. Islay Invs.* (1995) 9 Cal.4th 738, 749.) Where a defense is individualized, *Duran* and its progeny do not permit fixing the rights of class members by a ratio. (*Duran, supra*, 59 Cal.4th at pp. 31–32, 36–40.) Because the plan cannot manage the individual issues that predominate this case, Plaintiff has not carried her burden on superiority.

C. **The denial is a final determination on this record**

The Court denied the original motion without prejudice so that Plaintiff could present a completed evidentiary showing and a fully developed plan. (February Order, p. 18.) She has now done so, and the Court has evaluated certification on a complete record, twice. Further rounds of evaluation would serve no purpose. The denial of certification of the

misclassification class is accordingly a final determination on the present record, without further invitation to renew. The Court recognizes that this ruling, in combination with the rulings below, is appealable to the extent it sounds the death knell for these class claims. (See *In re Baycol Cases I & II* (2011) 51 Cal.4th 751, 757–758.)

V. The Alternative “Declarant” Class

Plaintiff proposes, in the alternative, a class limited to the 200-plus individuals who have signed (and not withdrawn) declarations stating that they spent half or more of their time on their subordinates’ work. (Notice of Motion, p. 2; Memo, p. 2, fn. 3; TMS, p. 6, fn. 9.) Walmart calls this a “fail-safe” class. (Opp., p. 28.) Strictly speaking it is not, because membership turns on the objective fact of having signed a declaration, not on a finding of liability. (Reply, p. 18.) But it is a proposed class defined by which side’s papers its members signed. That is more akin to a witness list than a class. The proposal appears only in footnotes, unaccompanied by any attempt to establish numerosity, community of interest, or superiority for the group it describes; it selects members by litigation alignment, which raises obvious adequacy concerns for everyone excluded; and it would not even avoid individual trials because Walmart’s impeachment case is aimed precisely at these declarants. (Opp., p. 19; Murata Decl., ¶¶ 33, 57.)

Accordingly, the Court DENIES certification of this alternative class.

VI. The ACNT Class

The ACNT claim is different in a meaningful way. Plaintiff’s theory is categorical: she contends that *any* deduction from a salaried associate’s wages to fund the ACNT violates Labor Code section 221, regardless of whether the associate authorized it, just as an agreement to work for less than the minimum wage is unenforceable no matter how freely given. (Memo, pp. 9–10; Reply, p. 18.) The Court expresses no view on whether that theory is legally correct because what matters here is its predominance. The ACNT presents a single question of law whose answer resolves every member’s claim in one stroke; membership and damages are ministerial exercises in reading Walmart’s own payroll records, which flag each deduction with

a “CRIT NEED TR” code. (TMS, pp. 7–8; Woolfson Decl., ¶¶ 23–33; Opp., p. 28, fn. 47; Reply, p. 18.) The individual amounts are far too small to support individual actions.

Walmart’s responses are merits arguments ill-suited for resolution at this stage. (Opp., pp. 18–19, 28; Stokes Decl., ¶ 18.) The ACNT may well be a separate public charity; section 224 may well permit deductions an employee has expressly authorized in writing. If so, Walmart could prevail classwide, in a single ruling, and very possibly on cross-motions filed soon after certification. That is not a reason to deny certification; it is a demonstration of why this claim is suited to it. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 439–440.) Walmart’s remaining argument is that voluntariness requires member-by-member inquiry. This is directed at a claim Plaintiff is not making. (Reply, p. 18 [“Branco does not allege unauthorized deductions but that the deductions are illegal, regardless of authorization”].) If authorization defeats the claim as a matter of law, it defeats it for everyone at once.

Nevertheless, a key element remains missing on the record before the Court. Nothing in the present record establishes that Plaintiff Branco herself had an ACNT deduction. A representative must be a member of the class she represents, however common the question. Accordingly, the Court GRANTS certification of the alternative ACNT class (all California-based OAMs and OCs who had any portion of their wages deducted to fund the ACNT program during the class period), on the condition that Plaintiff file, within 15 days, a declaration with supporting payroll records establishing that Branco had at least one ACNT deduction within the limitations period.

If the condition is not met, certification of the ACNT class is DENIED without prejudice to a motion, filed promptly, to substitute or add a suitable representative. The parties should be prepared to address Plaintiff Branco’s ACNT membership at the hearing; if counsel can resolve the point on the record, the Court will finalize the ruling accordingly.

VII. The Waiting Time Subclass

The waiting time subclass is defined as members of the misclassification and/or ACNT classes no longer employed by Walmart. (Notice of Motion, p. 1; TMS, p. 6.) To the extent it depends on the misclassification claim, it falls with that class. (Opp., p. 28; *Lampe v. Queen of*

the Valley Med. Ctr. (2018) 19 Cal.App.5th 832, 852.) To the extent it is premised on ACNT deductions, the theory is undeveloped because the papers do not address whether an allegedly unlawful deduction constitutes “wages” left unpaid at separation for purposes of Labor Code section 203, and they do not brief the good-faith-dispute defense to willfulness. (*Naranjo v. Spectrum Security Services, Inc.* (2024) 15 Cal.5th 1056, 1078.) The Court DENIES certification of the waiting time subclass. This denial is without prejudice, if the ACNT class is certified, to a targeted renewed showing limited to the ACNT-derivative theory.

VIII. Conclusion

For the reasons stated, the Court rules as follows.

1. The Court SUSTAINS Walmart’s evidentiary objections as to the legal conclusions in the expert submissions (including the Petersen Report, ¶¶ 3 and 88) and otherwise OVERRULES Walmart’s evidentiary objections, as set forth herein in Section III. A ruling on each numbered objection will issue with the final order.
2. The Court DENIES Plaintiff’s motion to certify the Misclassification class.
3. The Court DENIES Plaintiff’s alternative motion to certify a class of her declarants.
4. The Court GRANTS Plaintiff’s motion to certify the narrower ACNT class (OAMs and OCs only), conditioned on the representative-membership showing described herein in Part VI. The Court DENIES Plaintiff’s motion to certify the broader ACNT class definition.
5. The Court DENIES Plaintiff’s motion to certify the Waiting Time subclass.
6. The PAGA cause of action is unaffected by this ruling and will proceed, as will the individual claims of the coordinated plaintiffs.
7. The Court ORDERS the parties to file and serve within 15 days their respective positions (with computations and any tolling attributable to the coordination proceedings) regarding the application of the five-year rule (Code Civ. Proc., § 583.310).

The parties should come to the hearing prepared to address: (1) Branco's membership in the ACNT class; (2) the five-year computation; and (3) any request to stay ACNT notice pending early dispositive cross-motions on the section 221/224 question.

Counsel for Walmart shall prepare the order.

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Calendar Line 2

Case Name: *Rivera et al. v. ULBP Inc. et al.*
Case No.: 22CV398302

This is a representative action under the Labor Code Private Attorneys General Act (PAGA), Labor Code section 2698 et seq., brought by plaintiffs Jeffrey Rivera and Natasha Heacock against defendants ULBP Inc. and related entities, and Willie Frank Senn. Plaintiffs' counsel, Blumenthal Nordrehaug Bhowmik De Blouw LLP ("Counsel" or "BNBD"), has filed a motion to be relieved as counsel for Plaintiff Natasha Heacock only; Counsel continues to represent Plaintiff Jeffrey Rivera. The record reflects no opposition to the motion. As discussed below, the Court GRANTS the motion.

I. Legal Standard

Motions to be relieved as counsel are technical and governed by rule 3.1362 of California Rules of Court ("Rule 3.1362"). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b).) Counsel must provide a declaration on Judicial Council Form MC-052 stating "in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1)."¹ (Rule 3.1362(c).)

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties "by personal service, electronic service, or mail." (Rule 3.1362(d)). Rule 3.1362(d) sets forth the service requirements, as follows:

If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:
(A) The service address is the current residence or business address of the client;
or

¹ Code of Civil Procedure section 284 provides, "The attorney in an action or special proceeding may be changed at any time before or after judgment of final determination, as follows: [¶] 1. Upon the consent of both client and attorney, filed with the clerk, or entered upon the minutes; [¶] 2. Upon the order of the court, upon the application of either client or attorney, after notice one to the other."

(B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

The proposed order relieving counsel must be prepared on the Order Granting Attorney's Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and specify the date in the order. After the order is signed, a copy of the signed order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

II. Discussion

Counsel attests that there has been a breakdown in the working relationship between Plaintiff Natasha Heacock (the "Client") and Counsel, such that Counsel is unable to effectively carry out its representation of the Client. (Ronan Decl., MC-052, ¶ 2.) Counsel further attests that the specific facts giving rise to the motion are confidential and are being withheld pursuant to Business and Professions Code section 6068, subdivision (e), rule 1.6 of the California Rules of Professional Conduct, and the attorney-client privilege (Evid. Code, § 950 et seq.), and requests that, should the Court require further detail to evaluate good cause, the Court conduct an in-camera hearing outside the presence of the other parties. (*Id.*; *Manfredi & Levine v. Superior Court* (1998) 66 Cal.App.4th 1128, 1136–37; Cal. Rules Prof. Conduct, rule 3-700(C).)

Counsel further attests that the Client was served by mail at her last known address with the motion papers. (Ronan Decl., MC-052, ¶ 3.a.(2).) Although Counsel was not able to confirm that this address is current, Counsel attests that reasonable efforts were made to confirm the address, including mailing the motion papers return receipt requested and calling the Client's last known telephone number. (*Id.* at ¶ 3.b.(2).) Counsel further attests that, notwithstanding the inability to confirm a current address, Counsel has taken diligent and reasonable steps to avoid reasonably foreseeable prejudice to the Client. (*Id.* at ¶ 3.c.) This

showing satisfies the alternative service requirement of Rule 3.1362(d)(B), which permits service at a client's last known address where the attorney has been unable to locate a more current address after reasonable efforts made within 30 days before the filing of the motion.

Counsel has submitted the motion and supporting declaration on the required Judicial Council forms (MC-051, MC-052) and has lodged a proposed order on the required Judicial Council form (MC-053), as required by Rule 3.1362(e).

The Court finds that Counsel has served the Client in accordance with Rule 3.1362(d), submitted a declaration establishing that the requirements of Rule 3.1362 have been satisfied, shown sufficient reason why the motion to be relieved as counsel should be granted, and shown why Counsel brought the instant motion under Code of Civil Procedure section 284(2) instead of filing a consent under section 284(1).

The Court notes that the proposed order identifies the next scheduled hearing in this action as the case management conference of March 4, 2026, a date that has already passed. Court records reflect that no hearing is currently scheduled subsequent to the July 15, 2026 hearing on this motion and the Case Management Conference set for the same date. Before the order is entered, Counsel and the Court will discuss the setting of a future Case Management Conference, and Counsel shall provide a revised proposed order so that the order accurately reflects the next scheduled hearing, as required by Rule 3.1362(e).

The Court further notes that this motion pertains only to Plaintiff Natasha Heacock. Counsel continues to represent Plaintiff Jeffrey Rivera, who is unaffected by this motion, and this action will remain pending with counsel of record for at least one plaintiff.

III. Conclusion

The motion to be relieved as counsel is GRANTED as to Plaintiff Natasha Heacock on the condition that Counsel provides a revised proposed order on Judicial Council form MC-053 accurately reflecting the next Case Management Conference now set by the Court. Ms. Heacock's new counsel, or Ms. Heacock herself if she elects to proceed in propria persona, shall appear at the next scheduled hearing in this action and shall keep the Court informed of

her current address. Plaintiff Heacock's failure to comply may result in the dismissal of the action as to her.

Case Management Conference July 15, 2026 at 2:30 p.m. is VACATED.

Further Case Management Conference for appearance of Plaintiff and identification of counsel, in lieu of dismissal, is set on September 16, 2026 at 2:30 p.m.

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Calendar Line 3

Case Name: *Carbajal v. Scratch et al.*
Case No.: 24CV442539

This is a wage-and-hour class and representative action brought by Plaintiff Daniel Albani Carbajal (“Plaintiff”), individually and on behalf of a class of nonexempt, hourly employees, against Robert Fischer, doing business as Scratch, Palo Alto Creamery, Reposado, and The British Banker’s Club (“Defendant”).

The parties have reached a settlement, and the Court has granted Plaintiff’s unopposed motion for preliminary approval of the settlement. Now before the Court is Plaintiff’s unopposed motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for February 17, 2027 at 2:30 p.m. in Department 5.

I. Legal Standard

A. Class Actions

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds in *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. Where, as

here, a PAGA notice is filed before June 19, 2024, seventy-five percent of any penalties recovered go to the Labor and Workforce Development Agency (“LWDA”), leaving the remaining twenty-five percent for the employees. The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

This case has been settled on behalf of the following class, conditionally certified for settlement purposes at preliminary approval: “All nonexempt hourly employees who worked at any time for Defendant in the State of California from July 5, 2020, through April 15, 2025.” The related group of PAGA Aggrieved Employees consists of all hourly, nonexempt employees employed by Defendant in California at any time during the PAGA Period of April 29, 2023, through April 15, 2025.

Defendant will pay a non-reversionary gross settlement amount of \$225,000. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$74,925); litigation costs up to \$14,000; a PAGA allocation of \$25,000 (75 percent (\$18,750) of which will be paid to the LWDA and 25 percent (\$6,250) of which will be paid to the Settlement Class); a service payment of up to \$7,000; and settlement administration costs up to \$10,000. The net settlement amount is estimated to be \$94,075 and will be distributed to participating class members on a pro rata basis. The parties have stipulated to modify the settlement agreement such that all uncashed Class and PAGA Aggrieved Employee checks shall be distributed to Legal Aid at Work as the designated *cy pres* recipient, and the Court approves the *cy pres* designation.

In exchange for the settlement, Settlement Class Members who do not timely opt out release Defendant and the Released Parties from the wage-and-hour claims pleaded, or that

could have been pleaded, based on the facts alleged in the operative complaint for the Class Period, and Plaintiff releases the corresponding PAGA claims on behalf of the State. Individual Settlement Payments are allocated based on the number of Compensable Pay Periods each Settlement Class Member worked during the Class Period.

In its order granting preliminary approval, the Court appointed Phoenix Settlement Administrators (“Phoenix”) as settlement administrator. On January 5, 2026, Defendant delivered class data to Phoenix, whose final mailing list contained 567 individuals identified as Class Members. (Lee Decl., ¶ 3.) On January 15, 2026, Phoenix mailed class notices, in English and Spanish, to all 567 Class Members after performing a National Change of Address search. (*Id.*, ¶¶ 4–5.) The deadline to request exclusion from, object to, or dispute pay periods under the settlement was March 2, 2026. (*Id.*, ¶¶ 8–10.) As of the date of Mr. Lee’s declaration, no notices had been returned or deemed undeliverable, and Phoenix had received three timely requests for exclusion, zero objections, and zero pay-period disputes. (*Id.*, ¶¶ 6–10.) There are 564 Settlement Class Members, representing 99.47% of the Class, who collectively worked 14,025 pay periods, valued at approximately \$7.07 per pay period. (*Id.*, ¶ 11.) Phoenix estimates the average settlement share will be approximately \$175.88, with a highest individual payment of approximately \$886.17. (*Id.*, ¶ 14.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections and only three exclusions, the Court finds no reason to deviate from its preliminary finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Enhancement Awards, Attorney Fees and Costs

Plaintiff requests an enhancement award of \$7,000 and has submitted materials describing his participation in this case, including telephonic meetings with counsel, producing documents, reviewing pleadings, and participating in mediation. (Memorandum, p. 6; Carbajal Decl., ¶¶ 15–16.) The Court finds that a service award is justified, and the amount requested is reasonable. Therefore, the service award is approved in the amount requested.

Plaintiff's counsel seeks an attorney fee award of \$74,925 (one-third of the \$225,000 Gross Settlement Amount). (Memorandum, pp. 17–24.) Plaintiff's attorneys represent they have incurred a lodestar of \$96,422.50 in this action, based on a total of 109.4 hours billed at \$425–950 per hour. (S. Wheeler Decl., ¶¶ 61–64; J. Wheeler Decl., ¶¶ 8–9.) This results in a negative multiplier. The benefits achieved by the settlement support an award of attorney fees to class counsel. The Court approves an attorney fee award in the amount requested.

Plaintiff's counsel requests reimbursement of litigation costs in the amount of \$8,876 and provides an itemized list in support. (Memorandum, pp. 24–25; S. Wheeler Decl., ¶¶ 10, 76-77.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are likewise approved in the requested amount of \$10,000. (Lee Decl., ¶ 17 and Ex. C.)

IV. Conclusion

The Court GRANTS Plaintiff's motion for final approval and sets a compliance hearing for February 17, 2027 at 2:30 p.m. in Department 5.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: *Carillo v. ProteinSimple et al.*
Case No.: 25CV460472

This is a putative class and representative action arising from alleged wage and hour violations. In the first amended complaint against defendant ProteinSimple (“Defendant”), plaintiff Juan Carrillo alleges failures to pay minimum and overtime wages, provide compliant meal and rest breaks, timely pay wages during employment and upon termination, provide accurate wage statements, and reimburse business expenses, as well as related claims under Business and Professions Code section 17200 and civil penalties under the Private Attorneys General Act (“PAGA”).

Plaintiff moves for preliminary approval of the class action and PAGA settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 15, 2026, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 19.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds in *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiff’s case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Like its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under PAGA. (Lab. Code, § 2699, subd. (s)(2).) Because the operative PAGA notice here was filed on or after June 19, 2024, sixty-five percent of any penalties recovered goes to the Labor and Workforce Development Agency (“LWDA”), leaving the remaining thirty-five percent for the aggrieved employees. (See Lab. Code, § 2699,

subd. (i).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of:

All individuals who currently or formerly worked for Defendant in the State of California as hourly, non-exempt employees at any time during the Class Period [September 20, 2020 through January 7, 2026].

(Tang Decl., Ex. 4 (“Agreement”), ¶¶ 12.b, 12.f.) The settlement includes a subset PAGA group of aggrieved employees (“PAGA Employees”), defined as all individuals who worked for Defendant in California as hourly, non-exempt employees during the PAGA Period, September 11, 2023 through January 7, 2026. (*Id.* at ¶¶ 12.aa, 12.cc.)

Defendant will pay a non-reversionary gross settlement amount of \$850,000, exclusive of employer-side payroll taxes. (Agreement, ¶ 12.r; Motion, p. 4.) The gross settlement amount includes attorney fees of up to thirty-five percent of the gross settlement amount (\$297,500); litigation costs not to exceed \$35,000; a PAGA allocation of \$35,000 (65 percent (\$22,750) payable to the LWDA and 35 percent (\$12,250) payable to the PAGA Employees); an enhancement (service) payment of up to \$10,000 to the named Plaintiff; and settlement administration costs not to exceed \$6,390. (Agreement, ¶¶ 12.r, 14–17; Motion, p. 4.) After these deductions, the estimated net settlement amount available for distribution to Settlement Class Members is approximately \$466,110, to be paid on a pro rata basis according to workweeks worked during the Class Period. (Motion, pp. 4–5.)

The Agreement provides that Apex Class Action Administration will serve as the neutral entity that will administer the settlement. The Court appoints Apex Class Action Administration as the settlement administrator. (Agreement, ¶ 12.oo; Tang Decl., ¶ 49.) Funds

from checks remaining uncashed after the void date will be remitted to California Rural Legal Assistance, Inc., as the designated *cy pres* recipient pursuant to Code of Civil Procedure section 384. (*Id.* at ¶ 39.) The Court approves the *cy pres* designation.

In exchange for the settlement, Settlement Class Members will release Defendant and related entities and persons from all claims which were alleged or which could have been reasonably alleged based on the factual allegations of the Operative Complaint arising during the Class Period...” (Agreement, ¶¶ 12.ii, 40.) PAGA Employees, and the State of California, will be deemed to release the Released Parties from “all claims arising from any of the factual allegations in the PAGA Letter and the Operative Complaint, arising during the PAGA period...” (*Id.* at ¶¶ 12.jj, 41.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 7–15.) The parties reached the settlement following a full-day mediation on November 7, 2025 with Monique Ngo-Bonnici, Esq. (Tang Decl., ¶¶ 15, 27; Motion, pp. 8–9.) Prior to mediation, Defendant produced Plaintiff’s personnel file, a random sampling of putative class members’ time and pay records, its relevant wage and hour policies, and class-wide data including the total number of putative class members, total workweeks, and average rates of pay. (Tang Decl., ¶ 28; Motion, p. 9.)

According to the analysis by Plaintiff’s counsel, Defendant’s estimated maximum potential exposure for all claims (assuming success at trial on every claim and a violation for every employee on every shift) is approximately \$5,629,145, including \$417,200 in PAGA penalties. (Tang Decl., ¶¶ 31, 33; Motion, p. 10.) Counsel discounted that figure by 60 percent to account for the risk of failing to obtain or maintain class certification, and by a further 60 percent for merits-based risks, yielding an adjusted, realistic exposure of approximately \$900,663. (Tang Decl., ¶ 43; Motion, p. 14.)

The gross settlement amount of \$850,000 represents approximately 15 percent of Defendant's estimated maximum exposure and approximately 94 percent of its estimated realistic exposure, which is within the general range of percentage recoveries that California courts have found to be reasonable. The \$35,000 PAGA allocation represents approximately 4 percent of the gross settlement amount. (Motion, p. 14.)

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be preliminarily approved.

C. Service Award, Fees and Costs

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing his participation in this action. (Carrillo Decl., ¶¶ 3–5, 12; Tang Decl., ¶ 45.) The Court is inclined to approve the service award in the amount requested and will issue its determination at the final approval hearing. Class counsel will seek attorney fees of up to thirty-five percent of the gross settlement amount (\$297,500), plus litigation costs not to exceed \$35,000. (Motion, pp. 18–19.) Because the requested 35 percent fee exceeds the one-third benchmark commonly applied to California wage and hour class settlements, the Court will scrutinize the fee request, including through a lodestar cross-check, at the final approval hearing. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rates and hours worked) as well as evidence of actual litigation costs and settlement administration costs incurred.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiff states there are approximately 176 class members who can be identified from a review of Defendant's payroll records. (Tang Decl., ¶ 20; Motion, p. 15.) The Court finds that there are common questions regarding whether class members were subjected to Defendant's allegedly

uniform unlawful wage and hour practices, that the class is sufficiently numerous and ascertainable, and that the proposed class may be conditionally certified for settlement purposes. Defendant has stipulated to certification for settlement purposes only. (Motion, p. 15.)

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the proposed Class Notice describes the lawsuit, explains the settlement and the allocation of the gross settlement amount (including attorney fees and the enhancement payment), states each class member’s estimated individual payment, and sets forth the procedures and 60-day deadline for requesting exclusion from, objecting to, or disputing workweeks and pay periods under the settlement. (Agreement, Ex. A; Motion, pp. 19–21.) The notice will be mailed in English and Spanish, by first-class mail following a National Change of Address search. (Motion, pp. 19–20.) The form of the notice is generally adequate, subject to the modifications set forth below.

First, the Court is concerned that the objection procedure imposes conditions that are unnecessary to a valid objection and that may deter class members from exercising their right to object. As proposed, a Notice of Objection must include the objector’s signature and the last four digits of the objector’s Social Security number, a written statement of all grounds for the objection accompanied by any legal support, and copies of any documents on which the objection is based. (Agreement, ¶ 12.y; Motion, pp. 20–21.) Nothing in California Rules of Court, rule 3.769, requires an objecting class member to supply a Social Security number, and the settlement administrator can verify a class member’s identity by matching name and address against the class list without it. Conditioning a valid objection on providing Social

Security information, and on stating all grounds with supporting legal authority and documents, imposes an unwarranted burden on the right to object and raises unnecessary privacy concerns.

Accordingly, the notice and Agreement shall be modified so that a class member need not provide any portion of a Social Security number in order to object, and so that an objection is valid if it identifies the objector (by name and address) and reasonably states the basis for the objection; class members shall remain free, but not required, to submit supporting materials. The Court notes that the settlement already permits class members to object orally at the final approval hearing regardless of whether they submitted a written objection (Agreement, ¶ 32), which the modified written procedure shall complement rather than replace.

Second, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 15, 2026, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: *Gonzalez et al. v. Super Micro Computer, Inc.*
Case No.: 25CV476626

This is a representative action under the Private Attorneys General Act (“PAGA”), brought by plaintiffs Eric Gonzalez and Rick Downey (collectively, “Plaintiffs”) against Defendant Super Micro Computer, Inc. (“Defendant”). Before the Court is Defendant’s motion to compel arbitration and stay civil court proceedings. Plaintiffs oppose the motion. As discussed below, the Court GRANTS IN PART and DENIES IN PART the motion. The Court compels each Plaintiff’s individual claims to arbitration. The Court STAYS the non-individual, representative claims pending the completion of the arbitrations.

I. Background

Plaintiffs Gonzalez and Downey are former employees of Defendant Super Micro Computer, Inc. (“Super Micro” or “Defendant”). Gonzalez worked as a sales support specialist from February 2023 to May 2024. Downey worked as a senior sales manager, most recently from January 2023 to October 2024. Plaintiffs allege that Super Micro misclassified them and other salaried sales employees as exempt from California’s wage-and-hour laws. They seek PAGA penalties for unpaid overtime, non-compliant meal and rest periods, inaccurate wage statements, and the untimely payment of wages. They bring these claims on behalf of the State, other aggrieved employees, and themselves. (First Amended Complaint, ¶¶ 1–5, 22–23.)

Super Micro moves to compel arbitration of the individual component of Plaintiffs’ PAGA claims and to stay the representative component. (Memorandum, pp. 1–2.) The motion rests on a written arbitration agreement that each Plaintiff signed by DocuSign on March 14, 2023. (*Id.* at pp. 2–3.) Plaintiffs oppose, contending that the agreement is an unlawful wholesale PAGA waiver, that it is unconscionable, and that the representative claims should not be stayed. (Opposition, pp. 2–12.)

II. Legal Standard

In determining the threshold question of whether an arbitration agreement exists between the parties, a court employs a three-step burden-shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755; see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060; see also *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

III. Existence of Agreement to Arbitrate

Defendant bears the initial burden of showing an agreement to arbitrate, and it meets that burden. Defendant submits each Plaintiff’s signed Arbitration of Disputes Program and Agreement (the “Agreement”). It authenticates the electronic signatures through DocuSign Certificates of Completion, each Plaintiff’s unique company email address, and distinct IP addresses. (Memorandum, pp. 2–3; Chan-Zien Decl., ¶¶ 7-19, Ex. A–B.)

The burden does not shift back to Defendant. Neither Plaintiff denies signing the Agreement. (Gonzalez Decl., ¶ 7; Downey Decl., ¶ 5.) They dispute the circumstances of signing, but not the fact of execution. (Opposition, pp. 1–2.) The Court finds that a valid agreement to arbitrate exists. Each Plaintiff assented by electronic signature and by continuing employment for 30 days after receipt. The Agreement is governed by the Federal Arbitration Act, both by its express terms and because Super Micro’s operations involve interstate commerce. (Memorandum, pp. 6–8.)

V. Class and Representative Action Waiver

The Agreement requires arbitration of covered disputes on an individual basis. It waives the right to bring group, class, or collective actions. (Memorandum, pp. 4–5.) It further provides that any group, class, or collective claim that cannot lawfully be waived must be

litigated in a court of competent jurisdiction, and that no such claim proceeds in arbitration unless all parties agree. (Chan-Zien Decl., ¶ 22.) The Agreement does not mention PAGA.

It is well-settled that the Federal Arbitration Act permits a court to compel arbitration of a plaintiff's individual PAGA claim. (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662.) A pre-dispute agreement to waive representative PAGA claims remains unenforceable as against public policy. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1117.) A PAGA action has two components: (1) the individual component that seeks penalties for Labor Code violations the plaintiff personally suffered; and (2) the non-individual component that seeks penalties for violations suffered by other employees. (*Id.* at pp. 1113–1114.) Where the agreement so provides, the individual component may be compelled to arbitration while the non-individual component remains in court. (*Ibid.*)

Plaintiffs argue that the Agreement is a wholesale PAGA waiver with no mechanism to sever the individual component. (Opposition, pp. 2–6.) The Court is not persuaded. The Agreement does not force representative PAGA claims into arbitration, but instead preserves them for court. (Chan-Zien Decl., ¶ 22.) It separately requires arbitration of covered disputes relating to compensation on an individual basis. The individual component of Plaintiffs' PAGA claims is such a dispute. This is the structure that *Viking River* endorsed.

This case is unlike those in which the agreement excluded PAGA claims altogether or supplied no route to arbitrate the individual component. (See *Ford v. The Silver F, Inc.* (2025) 110 Cal.App.5th 553, 564; *DeMarinis v. Heritage Bank of Commerce* (2023) 98 Cal.App.5th 776, 787.) The Agreement here affirmatively commands individual arbitration and does not exclude PAGA. To the extent the Agreement is ambiguous as applied to a PAGA-only action, the presumption in favor of arbitration resolves the doubt. (Reply, pp. 2-3.) The Court finds the individual component of Plaintiffs' PAGA claims arbitrable.

V. Unconscionability

Plaintiffs argue the Agreement is unenforceable on unconscionability grounds. (Opposition, pp. 6–10.) Defendant argues that Plaintiffs failed to establish either procedural or substantive unconscionability. (Reply, pp. 3–9.)

A showing that an arbitration agreement is unconscionable can bar its enforcement. (*Diaz v. Sohnen Enterprises* (2019) 34 Cal.App.5th 126, 132 (*Diaz*).) “The doctrine has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. Both elements must be present for a court to refuse enforcement.” (*Ibid.*, internal quotation marks and citations omitted.)

The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. [Citations.] Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.

(*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*), internal citation omitted.)

A. Procedural Unconscionability

The issue of procedural unconscionability concerns the making of the agreement and any “oppression that arises from unequal bargaining power and the surprise to the weaker party that results from hidden terms or the lack of informed choice.” (*Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 795.) Courts have considered employment contracts provided on a “take-it-or-leave-it” basis to be procedurally unconscionable to some extent. (See *Farrar v. Direct Commerce, Inc.* (2017) 9 Cal.App.5th 1257, 1266.)

Plaintiffs argue there is procedural unconscionability because the Agreement was presented as a condition of employment, on a take-it-or-leave-it basis, weeks or months after they began work, with no opportunity to negotiate, to take the document home, or to ask questions. (Opposition, p. 7; Gonzalez Decl., ¶¶ 7–9; Downey Decl., ¶¶ 5–7.)

The Court finds a low degree of procedural unconscionability. The Agreement is a contract of adhesion imposed as a condition of employment, and it is therefore procedurally unconscionable to some extent. (*Farrar, supra*, 9 Cal.App.5th at p. 1266.) Adhesion alone, however, does not render an agreement unenforceable. (Reply, pp. 3–4; *Lane v. Francis Capital Mgmt., LLC* (2014) 224 Cal.App.4th 676, 689 [“assuming the agreement was one of adhesion, courts have consistently held that that fact alone is insufficient to invalidate an arbitration agreement”].) The element of surprise is weak. The Agreement is a stand-alone,

seven-page document with a clear heading and a bold, enlarged disclosure of the arbitration commitment. Each Plaintiff acknowledged the opportunity to read the Agreement and to ask questions of Human Resources. (Chan-Zien Decl., ¶¶ 8, 21.) The degree of procedural unconscionability is low.

B. Substantive Unconscionability

“Substantive unconscionability looks beyond the circumstances of contract formation and considers the fairness of an agreement’s actual terms focusing on whether the contract will create unfair or one-sided results. Substantively unconscionable contractual clauses reallocate risks in an objectively unreasonable or unexpected manner.” (*Ramirez, supra*, 16 Cal.5th at p. 493, internal punctuation and citations omitted; see also *Vo v. Technology Credit Union* (2025) 108 Cal.App.5th 632, 641.) The test is whether the terms impair the integrity of the bargaining process or otherwise contravene public policy, or the terms “attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law” or “negate the reasonable expectations of the nondrafting party.” (*Sonic-Calabasas A., Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.)

Plaintiffs contend the Agreement is substantively unconscionable because it waives non-waivable PAGA claims, because its definition of covered disputes is overbroad and non-mutual, and because its “Excluded Claims” provision bars any monetary recovery through administrative proceedings. (Opposition, pp. 7–10.)

Here, because the procedural showing is low, Plaintiffs must make a strong showing of substantive unconscionability. (*OTO, supra*, 8 Cal.5th at p. 126.) They do not.

The waiver is not one-sided. As explained above, the Agreement preserves representative PAGA claims for court and does not waive PAGA penalties. (Reply, pp. 2–3.) The definition of covered disputes is not unlawfully overbroad. It reaches only disputes arising out of employment. It does not bind Plaintiffs for life and does not cover non-employment claims. It is therefore distinguishable from *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. (Reply, pp. 5–6.) In addition, the obligation to arbitrate is mutual.

Plaintiffs raise legitimate concerns regarding the “Excluded Claims” provision. That provision preserves access to administrative agencies but states that an employee may not seek or receive monetary compensation from such proceedings. (Opposition, pp. 8–9.) Even assuming this provision is substantively unconscionable, it does not defeat the motion, because it is severable. California law strongly prefers severing a single offending term and enforcing the balance of the agreement. (*Ramirez, supra*, 16 Cal.5th at p. 513.) The central purpose of the Agreement is to arbitrate employment disputes on an individual basis, and that purpose is not tainted by the “Excluded Claims” provision, which is collateral and may be excised without reformation. (*Id.* at pp. 515–516.) The Agreement contains a severability clause, and the interests of justice favor severance. (Reply, pp. 9–10.) The Court severs the “Excluded Claims” provision to the extent it limits any statutory monetary remedy and enforces the balance of the Agreement.

The Court finds that the Agreement, as enforced, is not unconscionable.

VI. Conclusion

For the reasons stated, the Court GRANTS IN PART and DENIES IN PART the motion to compel arbitration. The Court compels each Plaintiff’s individual claims to arbitration. The Court STAYS the non-individual, representative claims pending the completion of the arbitrations.

Case Management Conference July 15, 2026 at 2:30 p.m. is VACATED.

Further Case Management Conference for review pending arbitration is set on February 24, 2027 at 2:30 p.m.

Defendant shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 6

Case Name: *Steinbeck Vineyards #1, LLC v. County of San Luis Obispo et al.*

Case No.: 2014-1-CV-265039

(Consolidated with Case No. 1-14-CV-269212)

I. Introduction

Before the Court is Plaintiffs' motion for summary judgment, or in the alternative, summary adjudication against Defendant San Miguel Community Services District (the "District") on the District's Nineteenth (Pueblo Water Right) and Twentieth (Treaty Water Right) affirmative defenses. Those two defenses are the subject of the Phase 6 trial set for August 17, 2026. The motion presents two central issues: (1) whether the District is judicially estopped from asserting pueblo and/or treaty rights after prevailing in Phases 3 and 4 on a prescriptive rights theory; and (2) whether the District can establish that the 1833–1834 Mexican secularization enactments transformed Mission San Miguel into a pueblo capable of supporting a California pueblo water right.

For the reasons stated below, the Court DENIES the motion for summary judgment. The Court DENIES summary adjudication of Issue 1 (judicial estoppel). The Court GRANTS summary adjudication of the Twentieth Affirmative Defense (Treaty Water Right). The Court DENIES summary adjudication of the Nineteenth Affirmative Defense (Pueblo Water Right), subject to the legal framework as set forth herein, which will govern the Phase 6 trial. The Court GRANTS the parties' requests for judicial notice and rules upon the evidentiary objections as set forth below.

II. Background

Plaintiffs are overlying landowners in the Paso Robles Basin who filed this quiet-title action on November 25, 2013. The Court has conducted the litigation in phases. In Phase 1, the Court held that Plaintiffs established a prima facie quiet-title case through ownership of overlying land, subject to whatever rights Defendants could prove. (Plaintiffs' Memorandum ("Memo"), pp. 7–8.) In Phase 3, a jury found by special verdict dated September 24, 2018 that the District perfected prescriptive groundwater rights during the years 1981 to 1990 only, based

on findings that the District's pumping was open and notorious, hostile and adverse, continuous and uninterrupted, and under claim of right. (Memo, p. 8; District's Opposition ("Opp."), p. 8.) In Phase 4, by order dated June 7, 2019, the Court quantified the District's prescriptive right at 177.03 acre-feet per year, calculated as gross pumping of 184.73 acre-feet per year less 7.7 acre-feet per year of overlying use that the Court treated as non-adverse. (Opp., p. 8.) The Phase 4 order stated that the Court was not determining the parties' overlying groundwater rights. (*Ibid.*)

With its Second Amended Answer (filed on April 12, 2017, and before the Phase 3 trial), the District added the two affirmative defenses now at issue. The Nineteenth Affirmative Defense alleges that the secularization of Mission San Miguel "led to the creation of a pueblo water right" and that the District is the successor to that right. The Twentieth Affirmative Defense alleges a vested Mexican-era water right recognized by the Treaty of Guadalupe Hidalgo, with priority over rights established under California law. (Memo, p. 7; Opp., pp. 7–8.) The City of El Paso de Robles has stated its intention to withdraw its parallel affirmative defenses; the District is accordingly the sole remaining Phase 6 claimant.

In opposition, the District submits the declaration of Douglas R. Littlefield, Ph.D., an historian, together with a compendium of exhibits, including: the Decree of the Mexican Congress of August 17, 1833; Governor Figueroa's Provisional Regulations of August 9, 1834; an 1854 federal survey plat; the September 2, 1859 United States patent to the Mission San Miguel lands; newspaper articles from 1869 to 1871 concerning a San Miguel voting precinct and school district; Sanborn maps from 1888 to 1931; and materials concerning the transfer of the local water system to public control in 1924. (Opp., pp. 8–10, 17–18.)

Plaintiffs rely principally on the District's verified discovery responses and document production, including the Report on the Subject of Land Titles in California reproducing two 1845 decrees of the Mexican Departmental Assembly, and, with their reply, the California State Lands Commission's 1982 publication, *Grants of Land in California Made by Spanish or Mexican Authorities*. (Memo, p. 22; Plaintiffs' Reply ("Reply"), pp. 6–7, 9–10.)

III. Requests for Judicial Notice

A. District’s Request for Judicial Notice

The District requests judicial notice of its Compendium Exhibits C–Q. The Treaty of Guadalupe Hidalgo is subject to mandatory judicial notice as law of the United States. (Evid. Code, § 451, subd. (a).) The 1833 Decree and 1834 Regulations are the law of a foreign nation (*id.*, § 452, subd. (f)), the tenor of which the Court may determine with the assistance of the Rockwell translation and the advice of persons learned in the subject (*id.*, § 454). The survey plats, topographic maps, and 1859 patent are official acts and records of the United States (*id.*, § 452, subd. (c)). The facts and dates of publication of the five newspaper articles are noticeable under section 452, subdivisions (g) and (h). Judicial notice extends to the existence, content, and legal effect of these materials, but not to the truth of hearsay statements contained in newspaper articles or secondary histories.

Accordingly, the District’s request for judicial notice of its Compendium Exhibits C–Q is GRANTED.

B. Plaintiffs’ Request for Judicial Notice

Plaintiffs seek judicial notice of evidence submitted with their reply, the State Lands Commission, Grants of Land in California (1982). As this is an official record of a state agency (Evid. Code, § 452, subd. (c)), the Court GRANTS the request for judicial notice as to its existence and content. (Reply, pp. 6–7.) Because the document was first submitted with the reply, the Court has considered it only as described below in Section VI.C, and the District will have an opportunity to address it at the hearing.

IV. Evidentiary Objections

The Court rules on each objection as required by *Reid v. Google, Inc.* (2010) 50 Cal.4th 512, 532 (“trial courts have a duty to rule on evidentiary objections presented in proper form”).

A. The District’s Objections Nos. 1 through 8

As to Objection No. 1, the documents at issue were produced by the District in discovery and are submitted in identical form in the District's own compendium; their authenticity is established. (Evid. Code, § 1414.) The decrees are judicially noticeable foreign law offered for their existence and legal effect rather than for the truth of the matters asserted, and the Zimmer declaration authenticates and quotes the documents without offering expert opinion. Objections Nos. 2 through 8 are directed at the characterizations in Plaintiffs' separate statement rather than at evidence and therefore do not state grounds for exclusion. (Cal. Rules of Court, rule 3.1354.) To the extent the District objects to the Plaintiffs' use of the District's verified discovery responses, those responses are admissions of a party and are admissible against it. (Evid. Code, § 1220.)

Accordingly, the Court **OVERRULES** the District's objections Nos. 1 through 8.

B. Plaintiffs' Objections to the Littlefield Declaration

Plaintiffs interpose four objections to the Littlefield Declaration, which the Court rules upon as follows.

Objection No. 1 (¶ 5) is **SUSTAINED IN PART**. The tenor and legal effect of the 1833 and 1834 enactments are questions of law for the Court (Evid. Code, § 310, subd. (b)), and the declaration does not create a triable issue of fact on those questions. Nevertheless, the Court will consider the declaration as advice concerning foreign law under Evidence Code section 454, subdivision (b), and the objection is otherwise overruled as to the declaration's historical narrative.

Objection No. 2 (¶ 6) is **OVERRULED**; the asserted vagueness of the phrase "over a period of time" and the post-1848 date of the supporting exhibits go to the weight and sufficiency of the evidence, not its admissibility.

Objection No. 3 (¶¶ 7–8) is **OVERRULED**; the material is relevant to the continuity of the San Miguel community.

Objection No. 4 (¶ 9) is **SUSTAINED IN PART**. The paragraph is admissible as an historian's description of the community's development, but it is not admissible as an opinion that San Miguel attained pueblo status as a matter of law, which is the ultimate legal question

reserved to the Court. The Court additionally notes that Dr. Littlefield's expert report expressly disclaims any opinion "on whether San Miguel was legally a pueblo," and the declaration will not be given effect beyond the scope of the report on which it rests. (Reply, p. 6.)

V. Legal Standard

Summary judgment or summary adjudication is proper only where the papers show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).) Summary adjudication may be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (*Id.*, subd. (f)(1).) Because Plaintiffs move against affirmative defenses, they bear the initial burden of showing that the District cannot establish at least one element of each defense; only upon such a showing does the burden shift to the District to demonstrate a triable issue of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843, 850–851.) The Court strictly construes the moving papers, liberally construes the opposition, draws all reasonable inferences in favor of the opposing party, and does not weigh the evidence.

The determination of foreign law is a question of law for the Court. (Evid. Code, § 310, subd. (b).) Conflicting expert opinion creates a triable issue only where the conflict concerns a question of fact; expert opinion directed to a question of law does not create a triable issue. (*Id.* at § 801; see also *Summers v. A.L. Gilbert Co.* (1999) 69 Cal.App.4th 1155, 1178 ["[t]here are limits to expert testimony, not the least of which is the prohibition against admission of an expert's opinion on a question of law"].)

VI. Discussion

A. Issue 1: Judicial Estoppel

Judicial estoppel applies where (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial proceedings; (3) the party was successful in asserting the first position; (4) the two positions are totally inconsistent; and (5) the first

position was not taken as a result of ignorance, fraud, or mistake. (*Jackson v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 183 (*Jackson*); see Memo, p. 9; Reply, p. 2.) But even where the elements are satisfied, application of the doctrine is discretionary. (*MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co., Inc.* (2005) 36 Cal.4th 412, 422 [the doctrine’s “dual goals are to maintain the integrity of the judicial system and to protect parties from opponents’ unfair strategies ... [c]onsistent with these purposes, numerous decisions have made clear that judicial estoppel is an *equitable doctrine*, and its application, even where all necessary elements are present, is discretionary”].)

Removed from the current procedural posture of this action, Plaintiffs’ argument appears logical. As to any water covered by both claimed rights, the District’s pumping could not simultaneously have been hostile and adverse to Plaintiffs’ title (i.e., the premise of the Phase 3 verdict) and a lawful exercise of a paramount antecedent right. (Memo, pp. 11–14; Reply, pp. 2–3; see *Mailhes v. Investors Syndicate* (1934) 220 Cal. 735, 738 [“[a]ll actions which proceed upon the theory that the title to property is in plaintiff are inconsistent with those which proceed upon the theory that title is in defendant”].)

Nevertheless, the current procedural posture of this action does not support application of the doctrine here. The District pleaded the pueblo and treaty defenses in its 2017 Second Amended Answer, before the Phase 3 trial, alongside its prescription defense. (Opp., pp. 7–8.) California law permits a party to plead inconsistent defenses in a single answer. (Code Civ. Proc., § 431.30, subd. (b); Opp., p. 13.) The order of trial was fixed by the Court’s bifurcation of the action into phases, not by any unilateral election of the District, and the District has litigated each defense in the phase assigned to it. (Opp., pp. 11–13.) The authority on which Plaintiffs principally rely recognizes that judicial estoppel “obviously contemplates something other than the permissible practice ... of simultaneously advancing in the same action inconsistent claims or defenses which can then, under appropriate judicial control, be evaluated as such by the same tribunal, thus allowing an internally consistent final decision to be reached.” (*Jackson, supra*, 60 Cal.App.4th at p. 181, quoting *Allen v. Zurich Ins. Co.* (4th Cir. 1982) 667 F.2d 1162, 1167; see Opp., pp. 11–12.) That description applies to this case.

In addition, the success element is not established as a matter of law. The jury and the Court adopted the District's position that its 1981–1990 pumping was adverse; no phase of this litigation addressed, adopted, or rejected any position concerning pueblo or treaty title. (Opp., pp. 5, 8.) The Phase 4 order reserved determination of the parties' overlying rights and is silent as to antecedent rights. (Compare Opp., p. 13 [order “expressly declined to determine” antecedent rights] with Reply, p. 4 [order does not use the words “antecedent,” “pueblo,” or “treaty”].)

On this record, the Court cannot conclude as a matter of law that a tribunal accepted a position of the District that is wholly inconsistent with the defenses now at issue, and the equitable considerations that inform the discretionary application of the doctrine do not favor terminating the defenses before the phase set aside to try them. (See Opp., pp. 14–15; Reply, p. 4.)

In this case, the concerns underlying Plaintiffs' motion are properly addressed at the conclusion of Phase 6, when the Court frames a single, internally consistent final judgment. If the District establishes a paramount antecedent right as to particular waters, the Court may at that time address the relationship between any such right and the previously adjudicated prescriptive right, which rests on findings of adversity. (Reply, pp. 3–4.) Nothing in this ruling determines that both adjudications can be given full effect as to the same water.

Accordingly, the Court DENIES summary adjudication of Issue 1, judicial estoppel.

B. The Twentieth Affirmative Defense (Treaty Water Right)

The Treaty of Guadalupe Hidalgo protected property rights existing under Mexican law at the change of sovereignty on February 2, 1848; it did not create new water rights. (Memo, pp. 19–20; Reply, pp. 5, 7–8.) The authorities cited by both parties treat the subsequent federal confirmation and patent proceedings as confirming pre-existing rights rather than originating new ones. (*City of Los Angeles v. Los Angeles Farming & Milling Co.* (1908) 152 Cal. 645, 649–650; *Los Angeles Farming & Milling Co. v. City of Los Angeles* (1910) 217 U.S. 217, 226–227 [rights “merely confirmed and not originated” by federal proceedings]; see Memo, pp. 19–20.)

The District's opposition does not identify any water right arising from the Treaty independent of its pueblo theory, and the District's own request for judicial notice describes the Treaty as protecting rights recognized under antecedent Spanish and Mexican law. (Reply, pp. 7–8 [noting the Opposition's silence on the Twentieth defense]; Opp., pp. 9, 15–20 [defending only the pueblo theory].) The Twentieth Affirmative Defense is therefore wholly derivative of the Nineteenth: if the District proves an antecedent pueblo right at Phase 6, the Treaty is relevant to that right's survival; if it does not, the Treaty confers no independent right. Because the defense has no independent content, Plaintiffs have carried their burden of showing that the District cannot establish a treaty-based water right as a distinct affirmative defense, and the District has not raised a triable issue in response.

Accordingly, the Court GRANTS summary adjudication of the Twentieth Affirmative Defense. This ruling does not preclude the District from relying on the Treaty at Phase 6 as the instrument by which any pueblo right proven to have existed under Mexican law was preserved following the change of sovereignty.

C. The Nineteenth Affirmative Defense (Pueblo Water Right)

California's pueblo-right decisions, from *Feliz v. City of Los Angeles* (1881) 58 Cal. 73 (*Feliz*) and *Vernon Irrigation Co. v. City of Los Angeles* (1895) 106 Cal. 237 through *City of San Diego v. Cuyamaca Water Co.* (1930) 209 Cal. 105 and *City of Los Angeles v. City of San Fernando* (1975) 14 Cal.3d 199, uniformly proceed from succession to an actual Spanish or Mexican pueblo, established either on an evidentiary record or by prior adjudication. (Memo, pp. 14–19; Opp., pp. 16–19.) No California decision holds that secularization alone converted a mission into a pueblo. (Memo, pp. 17–19.) The doctrine is not limited to any particular municipality, but it requires proof of the historical predicate. (Opp., p. 19.)

The parties' submissions frame different questions. Plaintiffs' Issue 2 asks whether the District can establish that the secularization decrees “transformed” Mission San Miguel into a pueblo. (Memo, pp. 5, 14.) The District responds that it does not contend the decrees effected a transformation by operation of law; its position is that the decrees directed a conversion and that the conversion occurred as a matter of historical fact. (Opp., pp. 15–16.) Because summary

adjudication must completely dispose of the affirmative defense (Code Civ. Proc., § 437c, subd. (f)(1)), and because the Nineteenth Affirmative Defense as pleaded (that secularization “led to” the creation of a pueblo water right) is broad enough to encompass a directed conversion accomplished in fact, adjudication of the narrower “transformation” proposition alone would not dispose of the defense. In reply, Plaintiffs point to *Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1257, in arguing that the pleadings delimit the issues and the District may not recast its defense in opposition. (Reply, p. 8.) The Court need not resolve that contention to decide the motion.

Plaintiffs’ response to the District’s broader theory, including the elements derived from *Feliz*, the contention that the Treaty of Guadalupe Hidalgo operates as a temporal cutoff for the creation of Mexican-law pueblo status (*United States v. Workman* (1863) 68 U.S. 745 (*Workman*)), and the State Lands Commission compilation was presented for the first time in the reply papers, together with a reply request for judicial notice. (Reply, pp. 4–7, 9–10.) Due process considerations preclude granting summary adjudication on the basis of legal theories and evidence first presented in reply, without affording the opposing party an opportunity to respond. (See *San Diego Watercrafts, Inc. v. Wells Fargo Bank* (2002) 102 Cal.App.4th 308, 316.) As such, the Court must deny the motion as to the Nineteenth Affirmative Defense.

However, to provide guidance for the Phase 6 trial, the Court sets forth the following framework, which the parties should be prepared to address at pretrial conference or by motion in limine:

First, the meaning and legal effect of the 1833 Decree, the 1834 Regulations, and the 1845 decrees of the Departmental Assembly are questions of law for the Court. (Evid. Code, § 310, subd. (b); Reply, pp. 8–9.) Both parties have requested judicial notice of these enactments as foreign law, and their meaning will not be treated as a question of fact or as a matter for resolution by competing expert opinion.

Second, a pueblo water right requires proof that a pueblo was duly formed and recognized under Spanish or Mexican law before sovereignty changed on February 2, 1848. (Reply, pp. 4:22–6:18.) While the Treaty protected rights existing at that time, it did not create rights thereafter. Evidence of post-1848 community development, such as the 1869–1871

voting precinct and school district records, the Sanborn maps, and the twentieth-century water-service history, may corroborate the continuity of the San Miguel community. (Opp., pp. 9–10, 17–18.) But such evidence, standing alone, cannot establish the required pre-Treaty pueblo status.

Third, the District should be prepared at trial to identify evidence that pueblo formation was completed or effected under Mexican authority before the Treaty. Without deciding the question, the Court observes that the present record contains substantial contrary indications: the 1834 regulations were provisional and were later suspended (*Workman*, supra, 68 U.S. at pp. 763–765; Reply, p. 9); and the May and October 1845 decrees of the Departmental Assembly, the only Mexican governmental acts in the record specifically addressing Mission San Miguel, classified it among missions abandoned by their neophytes and directed its sale, while separately identifying four other missions to be considered pueblos. (Memo, p. 22; Reply, pp. 9–10.) If the District concedes at the hearing on this ruling, or at the outset of Phase 6, that it has no evidence of pre-Treaty formation or recognition, the Court will consider whether any triable issue remains for Phase 6.

Accordingly, the Court DENIES summary adjudication of the Nineteenth Affirmative Defense, without prejudice to the Court’s determination of the foreign-law questions identified above, before or at the Phase 6 trial.

VII. Conclusion

For the reasons stated above, the Court rules as follows.

1. The Court DENIES Plaintiffs’ motion for summary judgment.
2. The Court DENIES summary adjudication of Issue 1 (judicial estoppel).
3. The Court GRANTS summary adjudication of the Twentieth Affirmative Defense (Treaty Water Right).
4. The Court DENIES summary adjudication of the Nineteenth Affirmative Defense (Pueblo Water Right), subject to the legal framework as set forth herein, which will govern the Phase 6 trial.

5. The Court GRANTS the parties' requests for judicial notice and rules upon the evidentiary objections as stated herein.
6. The Phase 6 trial remains set for August 17, 2026 at 9:00 a.m. in Department 19. The parties shall be prepared to address, at the pretrial conference or by motion in limine, the Court's determination of the foreign-law question identified above.

Counsel for Plaintiffs shall prepare the order.

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Calendar Line 7

Case Name:

Case No.:

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Calendar Line 8

Case Name: *Cruz v. Quantumscape et al.*
Case No.: 23CV427117

This is a putative class and representative action arising from alleged wage and hour violations. In the operative second amended complaint against defendants QuantumScape Corporation and QuantumScape Battery, Inc. (“Defendants”), plaintiffs Pete Cruz and Jose Hernandez allege failures to pay minimum, overtime, and vacation wages; provide meal and rest periods; pay sick leave at the regular rate of pay; reimburse necessary business expenses; provide accurate wage statements; keep required payroll records; and timely pay wages and final wages, as well as related PAGA penalties.

Plaintiffs now move for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference currently set in this matter for July 15, 2026 at 2:30 p.m. in Department 19, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 5.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Act (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56,

76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

All hourly, non-exempt employees who: (a) only ever signed arbitration agreements without a class waiver; (b) did not sign any release, separation, or settlement agreements waiving the claims alleged in the Actions (inclusive of any waiver of rights to participate in any class or representative PAGA settlement); and (c) worked for Defendant(s) in the State of California at any point between March 1, 2020 and July 6, 2025.

(Rodriguez Decl., Ex. A (“Agreement”), ¶ 1.4.) The settlement includes a subset PAGA group of Aggrieved Employees, defined as all hourly, non-exempt employees who did not sign separation agreements with an individual or non-representative PAGA claims waiver, did not sign valid releases of individual PAGA claims, and worked for Defendant(s) in the State of California at any point between December 4, 2022 and July 6, 2025. (*Id.* at ¶ 1.2) There are approximately 52 Class Members and 462 Aggrieved Employees. (Memorandum, p. 1:16.)

Defendants will pay a non-reversionary gross settlement amount of \$735,000.

(Agreement, ¶¶ 5.1, 5.6; Memorandum, p. 4.) The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$245,000); litigation costs not to exceed \$32,500; a PAGA allocation of \$218,750 (75 percent, or \$164,062.50, paid to the LWDA and 25 percent, or \$54,687.50, paid to Aggrieved Employees); a service payment of up to \$10,000 to plaintiff Hernandez; and up to \$12,500 in settlement administration costs. (Agreement, ¶¶ 5.2–5.5; Memorandum, pp. 4–6.)

The Agreement provides that ILYM Group, Inc. will serve as the neutral entity that will administer the settlement. (Mem. p. 4; Mot. p. 1.) The Court appoints ILYM Group, Inc. as the settlement administrator. Funds from checks that remain uncashed after the void date will be

remitted to Legal Aid at Work as the designated *cy pres* recipient pursuant to Code of Civil Procedure section 384. (Agreement, ¶ 5.6.) The Court approves the *cy pres* designation.

In exchange for the settlement, participating class members agree to release Defendants and related entities and persons from all claims alleged in the operative complaint, and all claims that reasonably could have been brought based on the facts alleged, through the Class Period. (Agreement, ¶¶ 1.33, 1.35, 6.1.) Aggrieved Employees will be deemed to release Defendants and related entities and persons from all PAGA claims alleged, and that reasonably could have been brought based on the facts alleged, in the LWDA notice letters through the PAGA Period. (Agreement, ¶¶ 1.34, 1.35, 6.2, 7.5.1.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend that the Agreement meets the standards for preliminary approval. (Memorandum. pp. 10–12.) Plaintiffs’ counsel states that the parties participated in a full-day mediation, which included a mediator’s proposal, following extended arm’s-length negotiations across three related proceedings. (Rodriguez Decl., ¶ 9; Memorandum, p. 3.) Prior to and in connection with mediation, the parties engaged in informal discovery, including the exchange of a representative sampling of employee data such as timecards, paystubs, payroll data, and relevant policies for the applicable limitations period. (Rodriguez Decl., ¶¶ 7–9; Kim Decl., ¶ 20; Memorandum, p. 3.) According to the analysis by Plaintiffs’ counsel, the estimated maximum value of the class and PAGA claims is \$15,393,363, while a more realistic range of recovery is between \$1,097,932.90 to \$4,476,117.45. (Rodriguez Decl., ¶ 11; Memorandum, p. 11.)

The gross settlement amount of \$735,000 represents approximately 4.8 percent of the estimated maximum value of the class and PAGA claims, and between 16.4 percent and 66.7 percent of counsel’s more realistic range of recovery. The net recovery for Class Members represents approximately 10.3 percent of the estimated maximum value of the class claims, and between 28.7 percent and 45.6 percent of the realistic range. (Memorandum, p. 11.) The

average net payment to Class Members is approximately \$4,182.69, or approximately \$41.21 per workweek. (*Ibid.*)

These recovery percentages fall within the general range of percentage recoveries that California courts have found to be reasonable at the preliminary approval stage. A presumption of fairness applies because the settlement was reached through arm's-length bargaining, after investigation and informal discovery sufficient to allow counsel and the Court to act intelligently, by counsel experienced in wage and hour class and PAGA litigation.

In sum, the Court has reviewed Plaintiffs' written submissions and is satisfied that the settlement is fair and may be approved on a preliminary basis.

C. Service Award, Fees and Costs

Plaintiff Hernandez seeks a service award of up to \$10,000 and has provided a declaration describing his participation in this action, including an estimated 60 to 80 hours assisting counsel and the professional and financial risks and burdens he undertook as the proposed class representative. (Agreement, ¶ 5.4; Hernandez Decl., ¶¶ 8–9.) The Court is inclined to approve the service award and will issue its determination at the final approval hearing. The Court notes that Plaintiff Cruz is not named as a class representative under the Agreement and does not seek a service award. (Rodriguez Decl., ¶ 10; Agreement, ¶¶ 1.6, 5.4) Counsel explains that the scope of the class claims is limited to individuals who signed arbitration agreements with language similar to what was included in Plaintiff Hernandez's arbitration agreement, and Plaintiff Cruz did not sign an arbitration agreement. (Rodriguez Decl., ¶ 10.)

Class counsel will seek attorney fees of up to one-third of the gross settlement amount, together with actual litigation costs not to exceed \$32,500. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiffs request that the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiffs state there are approximately 52 class members who can be identified from a review of Defendants’ payroll and personnel records. (Memorandum. pp. 1, 13–14.) The Court finds that the class is ascertainable and sufficiently numerous, that there are common questions regarding whether class members were subjected to unlawful wage and hour practices, and that the predominance, typicality, and adequacy requirements are satisfied for settlement purposes. The Court conditionally certifies the proposed class for settlement purposes, appoints plaintiff Jose Hernandez as class representative, and appoints Shimoda & Rodriguez Law, PC as class counsel.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees, litigation costs, the PAGA allocation, and the enhancement payment to the class representative. The notice fairly informs class members of their right to participate, to opt out, object, and appear at the final approval hearing.

The final approval hearing will be held in Department 5. The parties shall add the following language regarding the final approval hearing:

Class members may appear at the final approval hearing in person or remotely using the link for Department 5 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above addition to the notice prior to its mailing, the notice is approved.

III. Conclusion

For the reasons stated, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference currently set in this matter for July 15, 2026 at 2:30 p.m. in Department 19, VACATES the Case Management Conference July 15, 2026 in related case 24CV439603, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 5.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 9

Case Name:

Case No.:

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Calendar Line 10

Case Name:

Case No.:

- oo0oo -

Calendar Line 11

Case Name:

Case No.:

- oo0oo -

Calendar Line 12

Case Name:

Case No.:

- oo0oo -

Calendar Line 13

Case Name:

Case No.:

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